

Sales Compensation and Commission Policy

Document HR-COMP-003 • Category: compensation • Effective 2025-02-01 • Applies to: all Kai Components store staff

1. Base Pay and Commission Overview

Kai Components retail associates are paid an hourly base wage plus monthly sales commission.

Commission rewards net sales above an individual monthly quota and is calculated on components and finished electronics sold, net of returns and discounts.

2. Commission Rate

Associates earn 4 percent commission on net component and electronics sales above their monthly quota, and 6 percent on accessories and cables. Commission is paid on the 15th of the following month, in the paycheck for that period.

3. Monthly Quota

The standard monthly sales quota for a full-time associate is \$18,000 in net sales. Commission is paid only on net sales above this quota. Quotas are prorated for part-time associates based on scheduled hours.

4. Returns and Clawback

If merchandise is returned within 30 days of purchase, any commission paid on that sale is clawed back from the associate's next commission payment. Returns after 30 days do not affect previously paid commission.

5. Solar and Marine SPIFF

To support higher-margin categories, the company pays a \$25 SPIFF for each solar power kit and each marine electronics unit sold, in addition to standard commission. SPIFF amounts are not subject to the monthly quota.